Analyst Reflection: ExxonMobil or Chevron When the War Premium Fades

Companion to the Investor / Analyst Report · Written October 2026

1 HOW I USED AI

I used Claude (Anthropic), a general-purpose assistant, running in a coding environment with web search and Python. It was not a finance-specific product. It suggested the ExxonMobil versus Chevron scope, searched for current data (its built-in knowledge stopped before the period I analyzed), wrote and ran the Python scenario model and charts, and drafted most of the report text. I want to be plain about that last point: the AI wrote most of the prose. My role was deciding at the points where the analysis could go different ways, checking the numbers the conclusion depends on, and choosing the recommendation I was willing to sign.

2 WHERE I PUSHED BACK

Choosing the baseline. The most important decision in the report was what counts as a company's normal cash flow. The tool's first pass worked from the most recent quarter. When we tested that against the companies' own oil price sensitivities, Q2 2026 cash flow turned out to be about $19 billion (Exxon) and $24 billion (Chevron) higher per year than oil prices alone explain. The AI then laid out three options: annualize Q2, start from 2025 results with an adjustment for Chevron's Hess acquisition, or rely on company guidance such as Chevron's claim that it breaks even below $50 Brent. I rejected company guidance because that sub-$50 claim is exactly what the report needed to test, not assume. I also rejected the Q2 run rate because it treats wartime refining margins as permanent. I chose the 2025 base plus Hess. The result was that Chevron's breakeven came out near $62, well above its own claim, and the report now names that gap as its largest uncertainty instead of hiding it.

[[FILL: Add your second pushback example from the spot-checks, in your own words: which number you checked, what the AI or search summary said, what the source actually said, and what changed in the report. If every check matched, say that and describe instead a claim in the draft you questioned and why.]]

3 HOW I IMPROVED THE WORK

The question changed. I started with a generic "which major is better" comparison. The first data pulls showed Brent averaging $114 in September because of the Iran conflict, and the EIA forecasting a fall to $74 by late 2027. That turned the question into which company still earns its share price after the war premium fades.

A better metric replaced a misleading one. Annualized quarterly cash flow was replaced by a normalized model: 2025 cash flow moved to each scenario price using each company's disclosed sensitivity. With that change, Chevron's apparent valuation discount disappeared. Both stocks yield about 4.9% at $74.

A fairness adjustment and a stress test were added. Chevron's 2025 numbers include only about five months of Hess, so I added the missing portion (+$2.9 billion) using Hess's last annual report. I also chose to model Exxon's Middle East production returning in a peace scenario, which became the report's most distinctive argument. Then I tested the case where it does not return: Exxon's peace-case yield drops to about 4.4%, below Chevron's, and most of the preference disappears. That test is in the risk section.

A labeling error was corrected. The draft called Exxon's sensitivity an after-tax cash flow figure; the source only supports an upstream earnings sensitivity.

4 WHAT I VERIFIED

Verification mattered more than usual here, because the AI tool could not open SEC filings, EIA pages or company websites from its environment. Every figure reached it through search engine summaries, and those summaries sometimes disagreed. For example, Chevron's 2025 operating cash flow came back as both $33.9 billion and $34.9 billion. Chevron's Q2 free cash flow appeared as both $15.4 billion (company-adjusted) and $18.1 billion, and its market value ranged from $405 billion to $427 billion depending on the site. Q2 Brent was $104.40 (World Bank) or $102.93 (EIA), too small a gap to matter.

Every derived number was recomputed in code rather than typed by hand: market values from share counts implied by each company's reported EPS, free cash flow, and breakevens. I then checked the inputs the conclusion depends on most against the original documents:

[[FILL: List each spot-check you did (1 to 6 from SPOT_CHECKS.md): the number, the source you opened, and whether it matched. Give at least one in full detail: why it mattered, how you checked it, and what you found.]]

5 THE AI TOOL'S WEAKNESSES

Out-of-date knowledge presented confidently. When I picked the topic, the tool described the comparison as having "one dominant driver (oil price)" and did not know a war had pushed Brent above $100. I noticed this when the first search showed September Brent at $114. It mattered because the original framing would have produced a stale report. The fix was a rule that every current fact must come from a dated 2026 source. That worked for facts, but the tool's framing still reflected its older picture of the industry until the data forced a rethink.

No access to primary sources. The tool's environment blocked the SEC, EIA and company sites, so it worked from search summaries that conflicted, mixed up table columns, and sometimes cited secondary blogs. It flagged some conflicts but still built clean-looking tables from them. I gave priority to company-reported definitions, derived market values myself, and checked the key inputs by hand. That reduced the risk without removing it.

Treating a recent quarter as representative. Its first instinct was to annualize Q2 2026, overstating normal cash flow by roughly a quarter (Section 2). The normalized model fixed this but swapped in a different assumption (Section 7).

False precision. The model reports breakevens like "$62" to the dollar, but Chevron's figure depends partly on a Hess oil price sensitivity of $0.10 billion per $1 that the tool assumed and could not source. The report says a $1 billion error moves a breakeven by $1.40 to $1.70, so readers can see how soft those figures are.

6 WHERE MY THINKING CHANGED

I expected this to be a valuation contest that the cheaper stock would win. On headline numbers Chevron looked cheaper: a higher dividend yield, a slightly lower forward P/E, and more Q2 cash flow per dollar of market value. Normalizing the cash flows removed that discount. The deciding factor turned out to be one I had not thought about at all: Exxon's Middle East exposure. During the war it is a liability, since about 10% of upstream output was offline. In a peace scenario it works as a hedge, because production returns just as prices

fall. I also came to see the recommendation as a relative call rather than a reason to buy energy.

7 WHAT REMAINS UNCERTAIN

I have the least confidence in the 2025 baseline. It treats 2025 as normal and ignores both companies' growth since then, apart from Hess. That penalizes Chevron in particular, because its Tengiz expansion was ramping up during 2025. It is the most likely reason my Chevron breakeven ($62) is so far above management's sub-$50 claim. If the real figure is closer to $50, Chevron becomes the better value and my recommendation flips. The next step is the late October third quarter reports. I would take Chevron's Q3 operating cash flow, back out the oil price effect using its $0.60 billion sensitivity, and see whether the implied normal level is well above my $36.8 billion. I would also look for refining margin data, to see how much of the 2026 windfall came from refining rather than crude.

8 WOULD I STAND BEHIND THIS REPORT?

Yes, as a relative call. I would defend “prefer Exxon over Chevron for an investor who wants integrated oil exposure while the war premium fades,” because it rests on findings that do not depend on a precise oil forecast: Exxon's lower sensitivity per dollar of market value, its ability to cover the dividend at $60, and its Middle East volumes coming back. I would not put my name on a broader “buy energy now” call. Both stocks have rallied on cash flows the EIA expects to be temporary, and at $74 oil neither generates enough free cash flow to fund its current buyback. Before committing real capital I would also want the third quarter results in hand and every input in Table 1 checked against the original filing, not just the ones I spot-checked.